

ECONOMICS PAPER 2
(Mock Test 31)
Question-Answer Book

Time allowed: 2 hours 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11, 13, 15, 17, 19, 21, 23 and 25.
- (2) This paper consists of three sections, A, B and C. Answer ALL questions in sections A and B. Attempt any ONE question in section C.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

Please stick the barcode label here.

Candidate Number									
------------------	--	--	--	--	--	--	--	--	--

Marker's Use Only	
Marker No.	
Question No.	Marks
1	
2	
3	
4	
5	
6	
7	
8	
9	
10	
11	
12	
13	
14	
Total	

Section A (44 marks)

1. The government is considering the construction of an elevated trackless rapid transit system (高架無軌捷運系統) that runs from Choi Hung to Po Tat, passing through Sau Mau Ping, Shun Lee and other areas. The government anticipates that each train will be able to carry 250 to 300 passengers. Explain whether the opportunity cost of constructing the system will change if

(a) there is a shortage of labour during the construction period. (3 marks)

(b) the occupancy rate of the train is only half of that expected. (2 marks)

2. Hop Hing Group (former stock code: 00047) operates fast food businesses. In 2022, the major shareholder privatised the company and cancelled its listing status at the Hong Kong Stock Exchange.

(a) State the type of business ownership of Hop Hing Group before its privatisation. (1 mark)

(b) Explain the differences between the types of business ownership of Hop Hing Group before and after privatisation in terms of

(i) transfer of ownership.

(ii) disclosure of accounting information.

(4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

3. Suppose the government provides a per-unit subsidy to the producers of good X.
- (a) With the aid of a supply-demand diagram, explain **ONE** extreme condition under which consumers would not enjoy any subsidy benefit. (4 marks)
- (b) Indicate the total subsidy granted by the government in the same diagram. (1 mark)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

4. Refer to the following advertisements of two tutorial centres in Hong Kong.

Tutorial centre A

- We provide secondary school mathematics tutoring services
- Enjoy a 5% discount and enjoy the first lesson for free upon joining two courses

Tutorial centre B

- We provide secondary school English and economics tutoring services
- Free online homework enquiries
- Customised group classes, enquiries welcome

Give **TWO** reasons to explain why the market structure of tutorial centres in Hong Kong is **NOT** perfectly competitive. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

5. Studies have pointed out that it takes hundreds of years for plastic shopping bags to completely decompose. Toxic substances are released during the decomposition process, leading to environmental pollution.

Starting from 31 December, 2022, Hong Kong has raised the minimum charge for each plastic shopping bag from \$0.5 to \$1. In terms of externality, explain how increasing the charge for plastic shopping bags can improve economic efficiency. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

- (a) Calculate the inflation rate in 2022. (1 mark)
- (b) Mr. Chan is a holder of government bonds and receives fixed-rate interest every year. Explain whether Mr. Chan will gain or lose when the price level changes as shown in the above table. (2 marks)
- (c) ‘Deflation in the economy is caused by the central bank selling government bonds continuously in the open market.’ Justify the statement with reference to the classical quantity theory of money. (4 marks)

HKDSE-ECON 2-6 (Mock Test 31)

Please stick the barcode label here.

7. Macy was hired by an international school in Japan as a Chinese language teacher for two years. She remitted part of her salary to her parents in Hong Kong during her working period.
- (a) Explain which component of the current account of Hong Kong's balance of payments would be affected by the above events. (2 marks)
- (b) Macy could choose to receive her salary in either US dollars (USD) or Japanese yen (JPY). State **ONE** advantage and **ONE** disadvantage of choosing to be paid in US dollars instead of Japanese yen. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

8. The following table shows the number of man-hours required by Country A and Country B for producing 1 unit of computers and 1 unit of wheat.

	Computers	Wheat
Country A	2 man-hours	6 man-hours
Country B	3 man-hours	3 man-hours

- (a) Explain whether Country A has an absolute advantage in producing computers. (2 marks)
- (b) Which good will Country A export according to its comparative advantage? Explain. (3 marks)
- (c) Suppose 2 units of computers can be exchanged for 3 units of wheat when trade opens up between the two countries. A transportation cost of 0.5 units of wheat is required to exchange for 1 unit of computers for both countries. Calculate the gain per unit of export of Country A. Show your workings. (3 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF SECTION A

Answers written in the margins will not be marked.

Please stick the barcode label here.

Section B (60 marks)

9.

In early 2023, Hong Kong Disneyland announced plans to recruit 600 full-time and part-time frontline staff, including positions in hotels and park operations, catering, security and more, to fill the needs in park operations with anticipated tourist visits growth. The park stated that it will launch new attractions and performances in the future, including a new themed area based on the movie *Frozen*.

- (a) Explain which factor of production the staff of Hong Kong Disneyland belongs to. (2 marks)
- (b) Hong Kong Disneyland provides different types of attractions for visitors. Explain whether these attractions are consumer goods or capital goods. (2 marks)
- (c) (i) What type of expansion does Hong Kong Disneyland's launch of a new themed area belong to? (1 mark)
- (ii) List **TWO** possible motives for this type of expansion. (2 marks)
- (d) Suppose, after opening the new themed area, the average cost of production of Hong Kong Disneyland increases. Explain with **TWO** reasons why this happens. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

10. The table below shows the balance sheet of the banking system of an economy. Suppose the banks hold excess reserves of \$1,000 million and the public always hold \$200 million cash.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	3,000	Deposits	10,000
Loans	7,000		

- (a) Calculate the required reserve ratio of the banking system. (1 mark)

Suppose a household withdraws \$1,200 million from the banking system and remits the whole amount overseas, and now the banks do not hold excess reserves.

- (b) Calculate the changes in the monetary base and the money supply respectively. Show your workings. (4 marks)
- (c) With the aid of a diagram, explain how the above action will affect the economy's price level and output level in the short run. (7 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

11. Singapore raised its goods and sales tax (GST) from 1 January, 2023, from 7% to 8%. All goods are subject to GST, including imported goods.

(a) Explain whether the above GST

(i) is a direct tax or an indirect tax. (2 marks)

(ii) is a progressive tax, proportional tax or regressive tax. (2 marks)

(b) Evaluate the above change of the tax system in terms of *equality*. (2 marks)

(c) A news commentator said, 'The increase in the GST will reduce the government's tax revenue.'

(i) Explain whether this is a positive statement or a normative statement. (2 marks)

(ii) Explain under what condition an increase in the GST will reduce the government's tax revenue from GST. (3 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

12. As of 2021, about 4% of people aged 65 and over in Hong Kong live in various types of residential care homes for the elderly. The government introduced measures to improve elderly services in Hong Kong.

Source A: Projection of the age distribution of the population for selected years

	2019 (base)	2024	2029	2034	2039	2049	2059	2069
Aged 0-14	12%	11%	10%	8%	8%	8%	7%	7%
Aged 15-64	71%	67%	64%	63%	61%	59%	57%	58%
Aged 65 and over	18%	22%	26%	29%	31%	34%	35%	35%

(Source: Census and Statistics Department, HKSAR Government)

Source B: Summary of The Chief Executive's 2022 Policy Address on improving elderly services

- set up 16 new neighbourhood elderly centres in the next five years
- build Residential Care Homes for the Elderly (RCHEs) on suitable sites and reserve about 5% of the total gross floor area in public housing development projects for welfare purposes
- purchase places in private RCHEs
- increase the number of subsidised service places at elderly care homes

(Source: The Chief Executive's 2022 Policy Address, HKSAR Government)

Source C: A recruitment advertisement of a residential care home for the elderly

Care workers WANTED!

Duties: provide personal care and nursing services to the elderly

Qualification requirements: primary level, holder of Certificate in Personal Care Worker Training

Working hours: 48 hours per week, shift work required

Salary: Starting from \$16,000 per month, with paid annual leave and medical insurance

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Source D: A news report about a special scheme to import care workers for residential care homes

In December 2022, the government announced a special scheme to import care workers for residential care homes, including streamlining the vetting procedures for applications and relaxing the ratio of local employees to imported care workers, which aims to alleviate the shortage of care workers in the residential care home industry.

Various types of residential care homes can apply to import care workers. When submitting an application, the residential care home must prove that it has conducted local recruitment through channels specified by the Director of Social Welfare and that the vacancies cannot be filled.

This special scheme is expected to be launched in the second quarter of 2023, with an additional 3,000 care workers to be imported.

- Refer to Sources A and B. With the aid of a supply-demand diagram, explain under what condition the trend and policies reflected in the sources will cause the price of elderly care home services to increase. (6 marks)
- Refer to Source C. What is the wage payment method adopted by the residential care home for the elderly? From the viewpoint of the residential care home for the elderly, suggest **ONE** advantage of the payment method. (2 marks)
- Explain how the special scheme in Source D will affect the mobility of overseas care workers. (2 marks)
- Refer to Source D. Assume imported care workers will have an initial contract of two years. Explain whether their income should be included in the calculation of Hong Kong's gross domestic product. (2 marks)

For part (e), candidates are required to present their answer in essay form. Criteria for marking will include use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- Suppose the government has two strategies to improve elderly services.

Strategy I: Increasing the import quota on care workers for residential care homes
 Strategy II: Providing a living allowance for carers of the elderly who are ageing in place (i.e. the elderly living at home rather than in residential care homes) (居家安老的長者)

With reference to the above sources and your own knowledge in Economics, discuss the effects of each strategy on the following variables in order to **evaluate** the two strategies.

- aggregate output
- government expenditure
- unemployment rate

(14 marks)

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

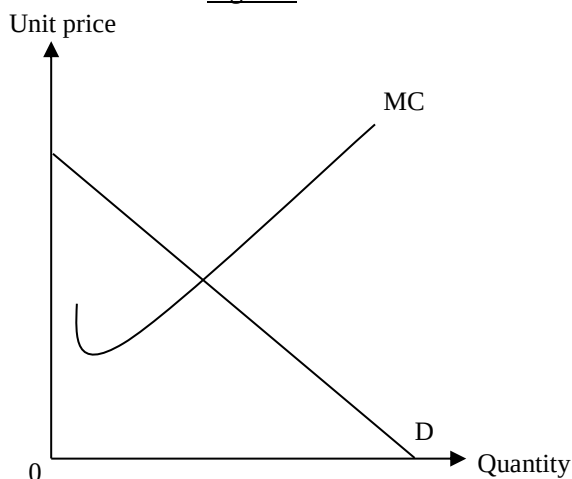
END OF SECTION B

Answers written in the margins will not be marked.

Section C (16 marks) Answer any **ONE** question.

13. LOOK Media is the only TV station providing paid television programme service in Country A. Figure 1 shows its demand curve and marginal cost curve.

Figure 1



- (a) Suppose LOOK Media adopts simple monopoly pricing. Indicate the profit-maximising output level and price as Q_1 and P_1 respectively in Figure 1. Explain why such a pricing arrangement would lead to a deadweight loss with the aid of Figure 1. (5 marks)
- (b) The TV station begins using digital cameras, and the marginal cost of producing television programmes is reduced.
- (i) Indicate the new output level and price as Q_2 and P_2 respectively in Figure 1. (2 marks)
- (ii) Indicate the new deadweight loss in Figure 1. (1 mark)
- (c) LOOK Media provides a half-price plan to families with seniors aged 65 and above.
- (i) Explain whether this price arrangement constitutes price discrimination. (3 marks)
- (ii) Suggest **TWO** conditions for practising this price discrimination. (2 marks)
- (d) After LOOK Media updates their system, new users are required to subscribe to their music streaming platform at the same time. Name the anti-competitive behaviour LOOK Media is engaged in. State **TWO** ways such behaviour may harm consumers. (3 marks)

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

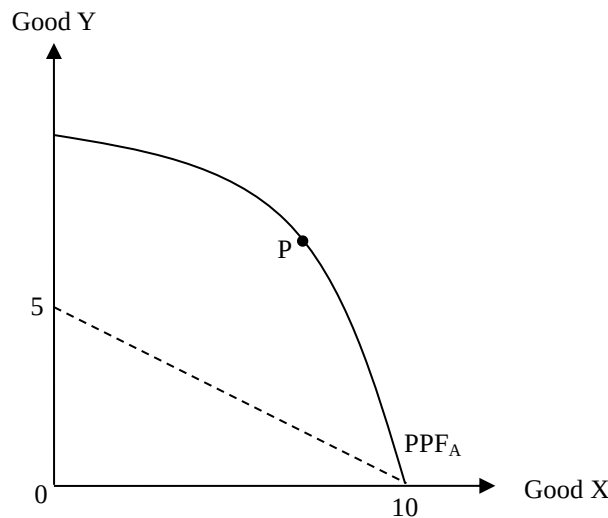
Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

14. Refer to Figure 2. PPF_A is the production possibility frontier of Country A. Point P is the production point of Country A without trade. The slope of the production possibility frontier at point P is 1. The slope of the dotted line is the world price of good X.

Figure 2



- Explain why the production possibility frontier of Country A is concave to the origin. (1 mark)
- Explain whether Country A has a comparative advantage in producing good X. (3 marks)
- Suppose Country A engages in trade. In Figure 2,
 - indicate the consumption possibility frontier of Country A after trade as CPF_T . (1 mark)
 - indicate the production point of Country A after trade as P_T . (1 mark)
- Suppose after Country A engages in trade, the quantity of both good X and good Y consumed increases. In Figure 2, indicate the consumption point (C_T), export volume and import volume of Country A after trade. (3 marks)
- Suppose the world price of good X continues to increase. Explain under what condition this would affect your answer in (b). (2 marks)
- The per capita real GDP of Country A increases after opening up to trade, but its HDI remains unchanged.
 - Give **ONE** possible reason to explain the above phenomenon. (1 mark)
 - Although the HDI of Country A remains unchanged, the residents of Country A generally agree that their standard of living has deteriorated. State **TWO** reasons to explain their point of view. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF PAPER

Answers written in the margins will not be marked.